



Telecom Policy Amendment Creating Confusion: **NO R&D, NO VALUE ADDITION REQUIRED?**



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Should the manufacturers of telecom products in India, and those planning to start their manufacture, invest in setting up a local manufacturing ecosystem or just import the components and stick to assembling only with no value addition or local content. The Department of Telecommunication (DoT) seems to be encouraging imports through recent amendments to its DPIIT Notified Public Procurement Policy 2017, which may hit domestic manufacture of the telecom components and parts!

It seems, national and international companies in India can now just assemble imported parts and components and the entire cost of imports plus local assembly would be considered as local manufacture cost. The companies would thus become eligible as Class I manufacturers and qualify for preference for public procurements and get all the benefits under PPP MII.

This would also eliminate the need of the Indian specifications notified by DoT themselves through Telecommunication Engineering Centre (TEC). On the other hand, there are PLI schemes offering incentives for promoting electronics manufacture within the country. Is the new amendment against the dream and vision of India's Prime Minister Narendra Modi?

Given below are the views of Prof. N.K. Goyal, Chairman Emeritus, Telecom Equipment Manufacturers Association of India (TEMA) as told to Mukul Yudhveer Singh, Business Editor at EFY

